

(anchoring bias), reacting to your immediate environment (framing effects), or relying exclusively on information that is readily available (availability bias). We will return to these common biases later. A computer suffers from none of these ailments—same input, same output.

2. Overconfidence

Humans are consistently overconfident. Overconfidence can be driven by errors such as hindsight bias—believing past events were more predictable ex-ante than they actually were—and self-attribution bias—attributing good outcomes to skill and poor outcomes to bad luck. Systematic decisions limit these problems. Models don't get emotionally involved and don't have an ego. Therefore, they are unable to get overconfident or overoptimistic—they simply execute based on the facts.

3. Story-Based, Not Evidence-Based Decisions

Humans suffer from a proclivity to believe in stories, or explanations that fit a fact pattern, but they don't bother to fully consider the empirical evidence. For example, consider the following statement:

Linda is thirty-one years old, single, outspoken, and very bright. She majored in philosophy. As a student, she was deeply concerned with issues of discrimination and social justice, and also participated in antiwar demonstrations.

Is it more likely that Linda is a bank teller or that Linda is a bank teller and is active in the non-GMO (genetically modified organisms) food movement? Our gut instinct is to think that it is more likely that Linda is a non-GMO bank teller, since the concepts of discrimination and social justice activate stored memories that are traditionally associated with environmental activism. But this line of reasoning is incorrect, as it ignores the statistical reality.^{[11](#)} System 1's love for a coherent story has led us to make a poor judgment, which is divorced from the true underlying probabilities. An empirical-based decision would consider the fact that the bank teller population is much larger than the non-GMO bank teller population and immediately understand that it is statistically more likely that Linda is only a bank teller. We have been led astray by our urge to create a story in our heads that seems to describe the evidence.